[Resilience X]

Performance Review and Appraisal Policy

Document ID: HR-POL-007
Effective Date: July 25, 2025
Version: 1.0
Issuing Department: Human Resources

Table of Contents

1.0 Introduction
1.1 Policy Statement
1.2 Purpose and Objectives
1.3 Scope
1.4 Our Performance Philosophy

2.0 Roles and Responsibilities
2.1 Employee
2.2 Manager / Supervisor
2.3 Human Resources Department
2.4 Senior Leadership

3.0 The Annual Performance Management Cycle
3.1 Overview of the Cycle
3.2 Key Stages and Timelines

4.0 Phase 1: Performance Planning and Goal Setting
4.1 The Importance of Goal Setting
4.2 The SMART Framework
4.3 Types of Goals
4.3.1 Business and Operational Goals
4.3.2 Professional Development Goals
4.3.3 Company Values and Behavioral Competencies
4.4 The Goal-Setting Process
4.5 Example: Well-Defined vs. Poorly-Defined Goals

5.0 Phase 2: Continuous Feedback and Coaching
5.1 The Culture of Continuous Feedback
5.2 Formal Check-ins (Mid-Year Review)
5.3 Informal Feedback and One-on-Ones
5.4 Documenting Performance: The Performance Journal

6.0 Phase 3: Year-End Performance Appraisal
6.1 Overview of the Appraisal Process
6.2 Step 1: Employee Self-Appraisal
6.3 Step 2: Manager's Assessment
6.4 Step 3: 360-Degree Feedback (As Applicable)
6.5 Step 4: Calibration Meetings
6.6 Step 5: The Performance Appraisal Meeting
6.6.1 Preparing for the Meeting

6.6.2 Conducting the Meeting
6.6.3 Post-Meeting Actions

7.0 Performance Ratings and Definitions
7.1 The Rating Scale
7.2 Detailed Rating Scale Definitions
7.3 Applying the Ratings

8.0 Linking Performance to Outcomes
8.1 Compensation and Rewards
8.1.1 Merit Increases
8.1.2 Annual Bonus / Incentive Plans
8.2 Career Development and Progression
8.3 Personal Development Plans (PDP)

9.0 Managing Underperformance
9.1 Defining Underperformance
9.2 Informal Corrective Action
9.3 The Formal Performance Improvement Plan (PIP)
9.3.1 Purpose of a PIP
9.3.2 The PIP Process
9.3.3 PIP Outcomes
9.4 Case Example: Managing a Performance Issue

10.0 Special Considerations and Exceptions
10.1 New Employees and Probationary Period
10.2 Employees on Extended Leave
10.3 Change of Manager or Role Mid-Cycle
10.4 Internal Transfers
10.5 Project-Based Employees and Contractors

11.0 Appeals and Grievance Process
11.1 Principles of Fairness
11.2 Informal Resolution
11.3 Formal Appeal Procedure

12.0 Confidentiality and Data Management
12.1 Data Privacy
12.2 Access to Performance Records

13.0 Case Studies
13.1 Case Study 1: Exceeding Expectations
13.2 Case Study 2: Meeting Expectations with a Focus on Growth
13.3 Case Study 3: Navigating a "Needs Improvement" Rating

14.0 Revision History

1.0 Introduction

1.1 Policy Statement

[Resilience X] is committed to fostering a high-performance culture that recognizes and rewards employee contributions while supporting individual growth and development. This Performance

Review and Appraisal Policy establishes a structured, fair, and transparent framework for evaluating employee performance, providing constructive feedback, and aligning individual objectives with the company's strategic goals.

1.2 Purpose and Objectives

The primary purpose of this policy is to create a consistent and equitable process for performance management across the organization. Its key objectives are:

- **To align individual and team goals with the strategic objectives of the company.**
- **To provide a clear framework for setting performance expectations and measuring results.**
- **To facilitate regular, constructive, and open dialogue about performance between employees and managers.**
- **To identify and recognize high performance and reward employees for their contributions.**
- **To identify opportunities for professional development, skill enhancement, and career growth.**
- **To provide a clear and supportive process for addressing underperformance.**
- **To ensure fairness and consistency in all performance-related decisions, including compensation, promotions, and development opportunities.**

1.3 Scope

This policy applies to all regular full-time and part-time employees of [Resilience X]. It does not apply to temporary staff, interns, or independent contractors, who may be subject to different performance feedback mechanisms as defined in their respective agreements.

1.4 Our Performance Philosophy

We believe that performance management is not a once-a-year event but an ongoing cycle of partnership between employees and their managers. Our philosophy is built on three core pillars:

- **Clarity: Expectations are clear, goals are well-defined, and the criteria for success are understood by all.**
- **Collaboration: Performance is a shared responsibility. Employees are empowered to own their performance and development, supported by continuous coaching and feedback from their managers.**
- **Growth: Every performance conversation is an opportunity for growth. We focus on celebrating strengths and identifying development areas to help our employees reach their full potential.**

2.0 Roles and Responsibilities

Successful performance management is a collaborative effort. The following outlines the key responsibilities for each stakeholder in the process.

2.1 Employee

- **Actively participate in the goal-setting process by proposing meaningful personal and professional goals that align with team objectives.**

- **Take ownership of their performance and actively work towards achieving their goals.**
- **Proactively seek feedback from their manager and peers throughout the year.**
- **Maintain an informal record of achievements, challenges, and contributions (a "Performance Journal").**
- **Complete a thoughtful and honest Self-Appraisal in a timely manner.**
- **Engage constructively in all performance discussions, including check-ins and the year-end appraisal meeting.**
- **Take ownership of their Personal Development Plan (PDP) and actively pursue learning opportunities.**

2.2 Manager / Supervisor

- **Collaborate with employees to set clear, challenging, and aligned SMART goals.**
- **Provide regular, ongoing, and constructive feedback and coaching throughout the performance cycle.**
- **Conduct formal check-in meetings (e.g., mid-year review) to discuss progress and provide support.**
- **Objectively and fairly assess employee performance against goals and behavioral competencies.**
- **Gather feedback from relevant sources, where appropriate (e.g., 360-degree feedback).**
- **Prepare for and conduct thoughtful and productive performance appraisal meetings.**
- **Participate in calibration meetings to ensure consistency and fairness in ratings.**
- **Partner with employees to create meaningful Personal Development Plans (PDPs).**
- **Recognize and reward strong performance and proactively address underperformance in a supportive and timely manner.**

2.3 Human Resources Department

- **Own, maintain, and communicate the Performance Review and Appraisal Policy and associated processes.**
- **Provide training and resources to managers and employees on all aspects of the performance management cycle.**
- **Administer the performance management system/tools and manage the overall timeline.**
- **Act as a neutral advisor and coach to both managers and employees throughout the process.**
- **Facilitate calibration meetings to ensure consistency and fairness across the organization.**
- **Analyze performance data to identify organizational trends, training needs, and high-potential talent.**
- **Oversee the appeals and grievance process to ensure fair and timely resolution.**

- **Ensure the confidentiality and integrity of all performance-related data.**

2.4 Senior Leadership

- **Champion a culture of high performance, feedback, and continuous improvement.**
- **Communicate the company's strategic priorities to ensure goal alignment at all levels.**
- **Hold managers accountable for conducting high-quality performance management practices.**
- **Participate in the final review and approval of performance-related compensation and promotion decisions.**

3.0 The Annual Performance Management Cycle

3.1 Overview of the Cycle

Our performance management cycle is designed to be a continuous process, not a singular event. It operates on an annual calendar, typically aligned with our fiscal year, and consists of three main phases:

1. **Performance Planning & Goal Setting: Looking forward and setting expectations.**
2. **Continuous Feedback & Coaching: Monitoring progress and providing support throughout the year.**
3. **Year-End Performance Appraisal: Reviewing outcomes and planning for the future.**

This cyclical approach ensures that performance conversations are ongoing, relevant, and forward-looking.

3.2 Key Stages and Timelines

Phase	Key Activities	Timing (Fiscal Year)
1. Performance Planning	Manager-employee goal-setting meetings. Goals finalized and documented.	Q1 (April - May)
2. Continuous Feedback	Regular one-on-one meetings. Ongoing coaching.	Q1 - Q4 (All Year)
- Mid-Year Check-in	Formal review of goal progress. Adjust goals if necessary.	Q2 (September)
3. Year-End Appraisal	Employee self-appraisal submitted. Manager assessment completed.	Q4 (January)
- Calibration	Managers meet to discuss and calibrate ratings.	Q4 (Early February)
- Appraisal Meetings	Manager-employee meetings to discuss final review.	Q4 (Mid-February)

Phase	Key Activities	Timing (Fiscal Year)
- Outcomes	Final ratings submitted. Compensation & promotion decisions communicated.	Q4 (March)

Note: Timelines are indicative and may be adjusted by the HR department based on business needs.

4.0 Phase 1: Performance Planning and Goal Setting

4.1 The Importance of Goal Setting

The foundation of effective performance management is a clear and shared understanding of what success looks like. The goal-setting process provides this clarity, ensuring that every employee understands how their work contributes to the broader objectives of their team, department, and the company.

4.2 The SMART Framework

All performance goals at [Resilience X] must be SMART. This framework ensures that goals are robust, clear, and actionable.

- **S - Specific: Clearly state what needs to be accomplished. Who is involved? What are the actions to be taken?**
- **M - Measurable: Define how success will be measured. Use metrics, data points, or clear deliverables.**
- **A - Achievable: The goal should be challenging but realistic given available resources and time.**
- **R - Relevant: The goal must align with the employee's role and the company's strategic objectives.**
- **T - Time-bound: Set a clear deadline or timeframe for completion.**

4.3 Types of Goals

A balanced performance plan includes different types of goals to reflect the full scope of an employee's contribution. Employees, in collaboration with their managers, should set 3-5 key goals for the year, typically covering:

4.3.1 Business and Operational Goals

These goals relate to the core responsibilities of the role and the expected outcomes. They are typically quantitative and linked to team or departmental KPIs (Key Performance Indicators).

- ***Example (Sales):* "Achieve $500,000 in new enterprise sales revenue in the fiscal year by closing at least 3 new logo deals valued over $100k each."**
- ***Example (Software Engineer):* "Successfully deliver the 'Project Phoenix' user authentication module by September 30th, with a code test coverage of at least 90% and fewer than 5 critical bugs reported in the first 30 days post-launch."**

4.3.2 Professional Development Goals

These goals focus on acquiring new skills, knowledge, or competencies that will enhance the employee's current performance and support their future career aspirations.

- *Example (Marketing Specialist):* "Become certified in Advanced Google Analytics by completing the official online course and passing the certification exam by December 31st, to improve our campaign tracking and reporting capabilities."
- *Example (New Manager):* "Complete the company's 'Leadership Essentials' training program and apply learned coaching techniques in weekly one-on-ones, as measured by positive feedback in a 360-degree survey at year-end."

4.3.3 Company Values and Behavioral Competencies

In addition to *what* is achieved, *how* it is achieved is equally important. All employees are also evaluated on their demonstration of [Resilience X]'s core values and behavioral competencies (e.g., Collaboration, Innovation, Customer Focus). Goals may not always be explicitly written for these, but they are a constant and critical part of the overall performance assessment.

4.4 The Goal-Setting Process

1. Company & Department Cascade: Senior leadership communicates the company's strategic goals for the year. Department heads then translate these into departmental objectives.
2. Manager Preparation: Managers review departmental objectives and consider how their team members can contribute.
3. Employee Draft: Employees draft their proposed SMART goals based on their role, departmental objectives, and personal development aspirations. They enter these into the performance management system.
4. Goal-Setting Meeting: The employee and manager meet to discuss, refine, and agree upon the final set of goals for the year.
5. Finalization: The manager approves the final goals in the performance management system, making them the official record for the performance cycle.

4.5 Example: Well-Defined vs. Poorly-Defined Goals

Poorly-Defined Goal	Well-Defined SMART Goal
"Improve customer service."	Specific: "Reduce the average customer ticket resolution time." Measurable: "From 24 hours to 18 hours." Achievable: "By implementing a new knowledge base and triaging system." Relevant: "This will directly improve our Customer Satisfaction (CSAT) score." Time-bound: "By the end of Q3."
"Learn about project management."	Specific: "Gain proficiency in Agile project management methodologies." Measurable: "By completing the 'Certified Scrum Master' course and successfully managing one internal project sprint using Agile principles." Achievable: "The course is funded by the L&D budget and the project is slated for Q4."

Poorly-Defined Goal	Well-Defined SMART Goal
	Relevant: "This will improve our team's project delivery efficiency." Time-bound: "Certification by November 1st, project completion by January 31st."

5.0 Phase 2: Continuous Feedback and Coaching

5.1 The Culture of Continuous Feedback

Performance management is an ongoing dialogue. We encourage a culture where feedback is given and received in real-time. Waiting for a formal review to discuss successes or challenges is a missed opportunity for timely recognition and course correction.

5.2 Formal Check-ins (Mid-Year Review)

The Mid-Year Review is a formal checkpoint in the performance cycle, typically held in September. It is a dedicated meeting between the employee and manager to:

- **Review progress against each goal.**
- **Celebrate successes and acknowledge achievements to date.**
- **Identify any roadblocks or challenges and brainstorm solutions.**
- **Discuss any changes in business priorities that may require adjusting or replacing original goals.**
- **Confirm that the employee is on track and has the support needed for a successful second half of the year.**

The Mid-Year Review is a developmental conversation and is not accompanied by a formal performance rating. Its purpose is alignment and support.

5.3 Informal Feedback and One-on-Ones

Managers are expected to hold regular one-on-one meetings with their direct reports (ideally weekly or bi-weekly). These meetings are employee-led and provide a consistent forum for:

- **Discussing priorities and workload.**
- **Providing real-time coaching and feedback.**
- **Addressing immediate challenges.**
- **Discussing career development and aspirations.**

5.4 Documenting Performance: The Performance Journal

Both employees and managers are strongly encouraged to maintain a "Performance Journal" throughout the year. This is an informal log, which can be kept in a notebook, a document, or within our HR system, to note:

- **For Employees: Key accomplishments, positive feedback received, challenges overcome, and new skills learned. This makes completing the self-appraisal much easier and more accurate.**

- **For Managers: Specific examples of an employee's strong performance, areas for development, project outcomes, and feedback from others. This helps in writing a fair, evidence-based appraisal.**

6.0 Phase 3: Year-End Performance Appraisal

The Year-End Appraisal is the culmination of the year's performance cycle. It is a formal process to assess and rate performance against the established goals and behavioral competencies.

6.1 Overview of the Appraisal Process

The process is designed to be thorough and fair, involving multiple steps to ensure a balanced perspective.

6.2 Step 1: Employee Self-Appraisal

The process begins with the employee. The Self-Appraisal is a critical opportunity for reflection. Employees are asked to:

- **Provide a written assessment of their performance against each of their goals.**
- **Include specific examples, data, and outcomes to support their assessment.**
- **Reflect on their adherence to company values and behavioral competencies.**
- **Identify their most significant achievements and challenges from the year.**
- **Propose areas for future focus and development.**

A thoughtful and comprehensive self-appraisal is the foundation for a productive appraisal meeting.

6.3 Step 2: Manager's Assessment

After the employee submits their self-appraisal, the manager completes their assessment. The manager will:

- **Review the employee's self-appraisal.**
- **Provide their own written assessment of the employee's performance against each goal, incorporating data and specific examples from their Performance Journal.**
- **Evaluate the employee on the "how" – their demonstration of company values and key competencies.**
- **Propose a preliminary performance rating based on the holistic assessment.**

6.4 Step 3: 360-Degree Feedback (As Applicable)

For certain roles (e.g., leadership, project leads) or by request, a 360-degree feedback process may be initiated. This involves confidentially soliciting feedback from a select group of peers, direct reports, and other stakeholders. This feedback is intended for developmental purposes and provides a broader perspective on an employee's impact and collaboration skills. The manager reviews the consolidated, anonymized report and uses it as an additional data point in the overall assessment.

6.5 Step 4: Calibration Meetings

Before final ratings are shared with employees, managers participate in calibration meetings. These are facilitated by HR and involve groups of managers from the same department or function. The purpose is to:

- **Discuss preliminary ratings for their team members.**
- **Ensure that managers are applying the rating scale consistently.**
- **Challenge potential bias and ensure fairness across different teams.**
- **Arrive at a calibrated and equitable distribution of ratings for the group.**

This step is crucial for maintaining the integrity and fairness of the entire process. A manager's preliminary rating may be adjusted up or down as a result of calibration.

6.6 Step 5: The Performance Appraisal Meeting

This is the formal meeting where the manager and employee discuss the year-end review.

6.6.1 Preparing for the Meeting

- **Manager: Reviews all inputs: self-appraisal, their own assessment, calibration outcomes, and any 360-degree feedback. Schedules a private, uninterrupted meeting.**
- **Employee: Comes prepared to discuss their self-appraisal and listen with an open mind.**

6.6.2 Conducting the Meeting

A constructive appraisal meeting should follow a clear structure:

1. **Set a Positive Tone: Start by reinforcing the purpose of the meeting – a two-way discussion about performance and development.**
2. **Review Achievements: Begin by discussing major accomplishments and successes from the year. Acknowledge and appreciate the employee's contributions.**
3. **Discuss Performance Against Goals: Go through each goal, discussing both the employee's and manager's perspective. Focus on facts, data, and specific examples.**
4. **Discuss Competencies and Behaviors: Talk about *how* work was accomplished, referencing company values.**
5. **Reveal and Explain the Rating: Clearly state the final, calibrated performance rating and explain the rationale behind it, connecting it to the evidence discussed.**
6. **Discuss Development: Shift the focus to the future. Discuss career aspirations and collaboratively begin outlining a Personal Development Plan (PDP).**
7. **Summarize and Next Steps: Summarize the key takeaways from the conversation and confirm next steps, including finalizing the PDP.**

6.6.3 Post-Meeting Actions

- **The manager finalizes all comments in the performance management system.**
- **The employee is asked to formally acknowledge in the system that the meeting took place. Acknowledgment does not necessarily signify agreement (see Section 11.0 for the appeals process).**

- **The manager and employee work together to finalize the Personal Development Plan for the upcoming year.**

7.0 Performance Ratings and Definitions

7.1 The Rating Scale

We use a 5-point rating scale to provide a clear and consistent measure of performance.

Rating	Numerical Score	Description
Outstanding	5	Consistently and significantly exceeds all performance expectations.
Exceeds Expectations	4	Consistently exceeds performance expectations in most areas.
Meets Expectations	3	Consistently meets and sometimes exceeds all core performance expectations.
Needs Improvement	2	Does not consistently meet all core performance expectations.
Unsatisfactory	1	Consistently fails to meet the minimum performance expectations.

7.2 Detailed Rating Scale Definitions

Rating	Behavioral Indicators
5 - Outstanding	- Far surpasses goals, delivering exceptional results that have a significant positive impact beyond their own role. - Recognized as a role model for company values and a go-to expert. - Proactively identifies and solves complex problems, demonstrating exceptional innovation and initiative. - Consistently goes above and beyond, setting a new standard for excellence. - This rating is reserved for truly exceptional and rare levels of performance.
4 - Exceeds Expectations	- Consistently achieves results that are above and beyond the defined goals. - Demonstrates a high level of proficiency and often exceeds expectations in behavioral competencies. - Shows strong initiative, requires minimal supervision, and often takes on additional responsibilities. - Actively contributes to team success and is a positive influence. - A strong and highly valued performer.
3 - Meets Expectations	- Reliably achieves all core goals and meets the defined standards of quality and timeliness. - Demonstrates solid performance and a consistent application of company values and competencies. - Is a dependable and effective contributor to the team.

Rating	Behavioral Indicators
	- May exceed expectations in some areas while meeting them in others. - This rating signifies a successful, fully contributing employee and is the expected standard for the majority of our workforce.
2 - Needs Improvement	- Fails to consistently meet one or more of the key goals or job requirements. - Performance may be inconsistent or require a higher-than-normal level of supervision and follow-up. - May not fully demonstrate the required behavioral competencies. - A Personal Development Plan (PDP) or a formal Performance Improvement Plan (PIP) is required to address specific gaps and provide support for improvement.
1 - Unsatisfactory	- Consistently fails to meet the minimum requirements of the role, even with support and guidance. - Performance has a negative impact on the team, projects, or customers. - Does not meet multiple critical goals. - Immediate and significant improvement is required. A formal Performance Improvement Plan (PIP) is mandatory. Continued failure to meet standards may lead to further disciplinary action, up to and including termination.

7.3 Applying the Ratings

The final rating is not a mathematical average of goal achievement. It is a holistic judgment made by the manager, in consultation with HR and the calibration committee, that considers:

- **The achievement of all goals.**
- **The complexity and stretch of the goals.**
- **The demonstration of company values and behaviors.**
- **The overall impact of the employee's contribution.**

8.0 Linking Performance to Outcomes

Our performance management process is directly linked to key talent management decisions, ensuring that we recognize contributions and invest in our employees' growth.

8.1 Compensation and Rewards

Our pay-for-performance philosophy means that individual performance ratings are a significant factor in determining annual compensation adjustments.

8.1.1 Merit Increases

The annual salary merit increase pool is determined by company performance. The distribution of this pool to individual employees is directly influenced by their performance rating. Employees with higher ratings (Outstanding, Exceeds Expectations) are eligible for larger percentage increases than those with lower ratings. Employees with a rating of "Unsatisfactory" are typically not eligible for a merit increase.

8.1.2 Annual Bonus / Incentive Plans

For employees in bonus-eligible roles, the individual performance rating serves as a "performance modifier." The total bonus payout is typically a function of both company performance (funding the bonus pool) and individual performance (determining the individual's share). Higher ratings result in a higher bonus multiplier.

8.2 Career Development and Progression

Performance history is a key consideration for promotions, lateral moves, and participation in high-potential talent programs.

- **Promotions: A sustained record of "Exceeds Expectations" or "Outstanding" performance is typically a prerequisite for promotion readiness.**
- **Succession Planning: High-performing employees are identified through the review process as potential successors for critical roles.**
- **Development Opportunities: Employees with high performance and potential may be nominated for specialized training, mentorship programs, or given stretch assignments to accelerate their growth.**

8.3 Personal Development Plans (PDP)

Every performance review, regardless of rating, must conclude with the creation of a Personal Development Plan (PDP). The PDP is a forward-looking document, created collaboratively by the employee and manager, that outlines:

- **Career Aspirations: Where the employee sees themselves in the next 1-3 years.**
- **Development Goals: 2-3 specific skills or competencies the employee will focus on developing in the coming year.**
- **Action Plan: The specific actions, training, experiences, and support needed to achieve those development goals (e.g., courses, mentorship, project assignments).**
- **Timelines & Measures: How progress will be tracked.**

The PDP is a living document, reviewed and updated during regular one-on-ones throughout the year.

9.0 Managing Underperformance

9.1 Defining Underperformance

Underperformance occurs when an employee's performance or behavior does not meet the clear and reasonable expectations of their role. This is formally identified by a "Needs Improvement" or "Unsatisfactory" rating in the year-end review, but it should be addressed by managers as soon as it is observed, at any point in the year.

9.2 Informal Corrective Action

The first step is always informal, supportive intervention. When a manager observes a performance gap, they should:

1. **Gather Facts: Collect specific examples of the performance issue.**

2. **Meet with the Employee: Hold a private, constructive conversation to discuss the observations, understand the employee's perspective, and identify potential root causes.**
3. **Reiterate Expectations: Clearly restate the required standard of performance.**
4. **Offer Support: Collaboratively develop an informal action plan with a clear timeline for improvement and schedule frequent check-ins.**

Most performance issues can be resolved at this stage.

9.3 The Formal Performance Improvement Plan (PIP)

If informal coaching does not result in the required and sustained improvement, or if the performance issue is severe, a formal Performance Improvement Plan (PIP) will be implemented.

9.3.1 Purpose of a PIP

A PIP is not a disciplinary action in itself; it is a formal support tool. Its purpose is to:

- **Formally document the specific performance deficiencies.**
- **Define the exact level of performance that is expected.**
- **Provide a structured plan of action, support, and resources for the employee to improve.**
- **Establish a clear timeline (typically 30, 60, or 90 days) for achieving and sustaining the required improvement.**
- **Outline the consequences of failing to meet the plan's objectives.**

9.3.2 The PIP Process

1. **Drafting: The manager, in consultation with the HR department, drafts the PIP document.**
2. **PIP Meeting: The manager and an HR representative meet with the employee to review the PIP in detail. The employee is given an opportunity to ask questions and understand the plan fully. The employee is asked to sign the PIP to acknowledge receipt.**
3. **Implementation: The manager provides the support outlined in the PIP and meets with the employee weekly to review progress against the plan's objectives.**
4. **Conclusion: At the end of the PIP period, a final review meeting is held to determine the outcome.**

9.3.3 PIP Outcomes

There are three possible outcomes at the conclusion of a PIP:

1. **Successful Completion: The employee has met and sustained the required performance standards. The PIP is closed, and the employee returns to the standard performance management cycle, with continued monitoring.**
2. **Partial Improvement: Some progress has been made, but the required standard has not been fully met. The PIP may be extended at the discretion of the manager and HR.**
3. **Failure to Improve: The employee has not met the objectives of the PIP. This will lead to further disciplinary action, up to and including termination of employment.**

9.4 Case Example: Managing a Performance Issue

An employee in a data analyst role is consistently submitting reports with errors and missing deadlines.

- **Informal Action: The manager first meets with the employee, provides specific examples, and discovers the employee is struggling with a new software tool. The manager arranges for peer-to-peer training and increases check-ins.**
- **Formal PIP: After a month, the errors persist, impacting team decisions. The manager, with HR, initiates a 60-day PIP. The PIP clearly defines "accuracy" (less than 2% error rate) and "timeliness" (95% of deadlines met). The plan includes formal online training for the software, weekly report reviews with the manager, and a designated peer mentor.**
- **Outcome: The employee successfully completes the training and, by the end of the 60 days, is consistently meeting the accuracy and timeliness targets. The PIP is successfully closed.**

10.0 Special Considerations and Exceptions

10.1 New Employees and Probationary Period

- **New employees are subject to a probationary review at the end of their initial 90-day period. This is a simplified review to assess their fit for the role and the company, and to confirm their employment.**
- **New employees who have been with the company for more than six months at the time of the year-end cycle will participate fully. Those with less than six months will have a less formal check-in, with their first full review occurring in the next cycle.**

10.2 Employees on Extended Leave

For employees on an extended leave of absence (e.g., maternity, medical, sabbatical) for more than three months during the performance cycle:

- **Their performance will be assessed based on the portion of the year they were actively at work.**
- **Goals may be pro-rated or adjusted.**
- **A formal rating will be given if the employee has been active for at least six months of the cycle. Otherwise, a "Not Rated" status may be used, and the review will focus on re-integration and setting goals for their return.**

10.3 Change of Manager or Role Mid-Cycle

- **If an employee changes managers, the former manager is required to provide performance feedback and input to the new manager. The new manager conducts the final appraisal, taking the previous manager's input into account.**
- **If an employee changes roles, their goals must be officially updated in the system. The final appraisal will be a holistic assessment of their performance in both roles, weighted according to the time spent in each.**

10.4 Internal Transfers

Similar to a change of manager, the sending manager must provide a performance summary to the receiving manager. This "transfer review" ensures that performance data is not lost and provides context for the receiving manager.

10.5 Project-Based Employees and Contractors

While not subject to this formal policy, project-based employees should receive regular feedback from their project manager. Upon project completion, a performance summary should be documented to be considered for future project assignments.

11.0 Appeals and Grievance Process

11.1 Principles of Fairness

We are committed to a fair and transparent process. If an employee disagrees with their final performance rating or specific comments in their review, they have the right to a formal appeal. The appeals process is intended to review the *process* and *fairness* of the appraisal, not simply to debate the manager's judgment.

11.2 Informal Resolution

Before initiating a formal appeal, the employee is strongly encouraged to first discuss their concerns directly with their manager to see if a resolution or better understanding can be reached.

11.3 Formal Appeal Procedure

If informal discussion does not resolve the issue, the employee may initiate a formal appeal within 10 working days of the appraisal meeting.

1. **Step 1: Written Appeal: The employee must submit a written appeal to the HR Department. This document should clearly state the specific aspects of the review being disputed and provide a detailed rationale and any supporting evidence.**
2. **Step 2: HR Review: An HR Business Partner will review the appeal. This includes speaking with the employee, the manager, and reviewing all relevant documentation. The HRBP may try to mediate a resolution.**
3. **Step 3: Senior Management Review: If no resolution is reached, the appeal is escalated to the next level of management above the employee's direct manager (e.g., the Department Head). This senior manager, in consultation with HR, will conduct a final review of the case.**
4. **Step 4: Final Decision: The senior manager will make a final decision, which may be to:**
    - **Uphold the original appraisal.**
    - **Amend the appraisal comments.**
    - **Change the performance rating (this is rare and only occurs if a significant procedural error or clear evidence of bias is found).**
      The decision at this stage is final and will be communicated to the employee in writing.

12.0 Confidentiality and Data Management

12.1 Data Privacy

All performance review documents, including self-appraisals, manager assessments, feedback, and final ratings, are considered confidential employee records. This information will be treated with the utmost discretion and stored securely in the company's designated HR Information System.

12.2 Access to Performance Records

Access to an employee's performance appraisal records is strictly limited to:

- **The employee.**
- **The employee's direct manager and management chain (up to the Department Head).**
- **The Human Resources Department.**
- **Senior executives for the purposes of talent review and compensation planning.**

Information will not be shared with any other party without the express written consent of the employee, unless required by law.

13.0 Case Studies

13.1 Case Study 1: Exceeding Expectations

- **Employee: Sarah, Senior Marketing Manager.**
- **Goal: "Launch the new 'Project Elevate' integrated marketing campaign by July 1, generating 1,000 Marketing Qualified Leads (MQLs) by end of Q3 with a budget of $50k."**
- **Outcome: Sarah launched the campaign two weeks ahead of schedule. By the end of Q3, the campaign had generated 1,800 MQLs. She accomplished this under budget, spending only $45k, by negotiating better rates with vendors. She also created a campaign playbook that other regional teams could adopt.**
- **Review Discussion: Sarah's manager praises her exceptional planning and execution. They discuss not only the "what" (exceeding metrics) but the "how" (strong negotiation, creating a reusable asset).**
- **Rating: Sarah receives an "Exceeds Expectations" rating. Her PDP focuses on gaining more cross-functional leadership experience to prepare her for a Director-level role.**

13.2 Case Study 2: Meeting Expectations with a Focus on Growth

- **Employee: David, IT Support Analyst.**
- **Goal: "Resolve 95% of assigned IT support tickets within the 8-hour SLA."**
- **Outcome: David consistently met his goal, averaging a 96% resolution rate. His customer satisfaction scores were solid.**
- **Review Discussion: David's manager acknowledges his reliability and technical skill. The conversation focuses on development. The manager notes that while David is excellent at resolving tickets, he could be more proactive in identifying recurring issues.**
- **Rating: David receives a "Meets Expectations" rating. This is communicated as a positive outcome, reflecting that he is a valued, successful employee. His PDP includes a goal to perform a root-cause analysis project on the top 3 most common IT issues and present recommendations to the team.**

13.3 Case Study 3: Navigating a "Needs Improvement" Rating

- **Employee: Mark, Junior Accountant.**
- **Goal: "Complete monthly financial reconciliations with an accuracy rate of 99% or higher."**
- **Outcome: Over several months, Mark's reconciliations repeatedly contained errors that required rework by senior staff. His accuracy rate was tracked at around 95%. Informal coaching was provided, but the issues persisted.**
- **Review Discussion: The manager presents the data on the error rates and the impact of the rework. The conversation is direct but supportive, focusing on the gap between performance and expectations. The manager explains why this leads to a "Needs Improvement" rating.**
- **Rating: Mark receives a "Needs Improvement" rating. The conversation immediately transitions to creating a supportive PDP that functions like a pre-PIP plan. It includes targeted training on the accounting software, a weekly review of his work with a senior peer, and clear accuracy targets for the next quarter. The tone is one of investment in his improvement.**

14.0 Revision History

Version	Date	Author/Changes Made	Approved By
1.0	July 25, 2025	Initial creation of the comprehensive policy document.	Head of Human Resources